EG CONFERENCE CALL NOTES: China's growing economic coercion toolkit

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CONFERENCE CALL NOTES

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China's growing economic coercion toolkit

Short-term trajectory:

Long-term trajectory:

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* China's coercive leverage extends well beyond critical minerals — its rising dominance in intermediate goods, batteries, industrial chemicals, and precision tools is building a broader and more durable toolkit.

* Beijing's threshold for retaliation has lowered and it has created the legal foundation for wider applications of countermeasures. It will, however, continue to be reactive and proportionate in its retaliatory approach.

* The US-China truce will hold until the end of the year, but China-EU tensions are rising and China-Japan relations will remain frozen.

This is an AI-generated summary based on the call transcript. A transcript , audio , video , and slides from this call are available. You can access other Eurasia Group conference calls through a personalized link for select podcast readers here.

Speakers:

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* Gerard DiPippo, Director, Global Macro, Eurasia Group

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China's Coercive Toolkit Is Expanding Beyond Critical Minerals

Critical minerals will remain China’s primary export control retaliatory lever for at least five years. Treasury Secretary Scott Bessent’s own estimate has shifted from 18 months to four years for critical minerals resiliency; the realistic figure is five years or more. But the more important analytical point is that China's market share in critical goods extends well beyond minerals and is concentrated in intermediate goods, which China’s share has jumped sharply since 2021. At the HS6 trade code level, the number of intermediate goods where China holds at least 50% market share is on a trajectory to reach 400 by 2030.

Five additional buckets were flagged as plausible future chokepoints: lithium-ion batteries and inputs; precision tools and super-hard materials; electric power electronics; industrial chemicals and precursors; and active pharmaceutical ingredients (APIs). APIs are unlikely to be weaponized under current US-China conditions due to reputational cost, but Chinese interlocutors raised it as an option during last year's trade tensions.

A March 2026 Chinese Academy of Sciences paper identified 63 specific technologies China could weaponize and outlined plans for doing so. China's internal mapping of these vulnerabilities is an order of magnitude more detailed than anything Western governments have produced.

Beijing's Decision Framework for Future Controls

There are five variables China likely will use to select future targets: (1) depth of the target's dependence; (2) difficulty of building alternative supply chains; (3) China's ability to enforce controls and prevent re-export; (4) avoiding harm to domestic producers; and (5) reputational risk. On the last point, China will prefer to frame controls on national security grounds to limit diplomatic blowback.

The threshold for using these tools has fallen. After compelling the Trump administration to retreat from tariffs and export controls in 2025, Beijing is now retaliating in a tit-for-tat manner to all Western actions, including recent Iran-related sanctions and 1260H listings of major Chinese firms. China's seeks to be proportionate in its retaliation because its goal is to shape the future behaviors of the targeted entity or government and to deter future actions that it believes are harmful to its interests.

State Council decrees 834 and 835 formally authorize retaliation against firms that comply with foreign regulations (834) and against governments that pursue discriminatory trade measures (835). Decree 835 has already been used to block an EU subsidy investigation targeting a Chinese firm.

US-China: Truce Holds, But With Limits

The truce will hold through the end of the year. China is motivated to give Trump a political win ahead of the November midterms and to lock in stability through the remainder of his term. The two sides will agree to an extension of the November 2025 truce in the September summit. Contacts suggest Beijing is seeking an extension of theer 2025 truce covering the full Trump term; Washington is signaling preference for a one-year extension.

On the Board of Trade and Investment, there’s skepticism that the two sides can identify $30 billion in goods on each side, and there is lessoptimism about the investment board gaining traction, given internal US resistance to Chinese investment. An AI dialogue may emerge from or before the summit but is unlikely to produce substantive outcomes given fundamental distrust and direct military-AI competition.

China continues to use the rare earth licensing process to prevent Western firms from stockpiling, maintaining leverage even under the truce.

China-EU: Confrontation Building, Timeline Extended

The EU is developing a new trade diversification instrument described as analogous to a US Section 301. It is assessed that negotiation will take at least 18 months— meaning it will not be deployable before 2028. In the interim, the EU has existing tools, including potential tariff expansion to hybrid vehicles.

China's posture toward Europe is dismissive. Chinese officials and academics characterize Europe's trade concerns as reflecting a lack of competitiveness on the part of Europe rather than a result of Chinese subsidies and currency undervaluation, and view Europe as divided and manageable. Beijing's retaliatory principle is symmetric matching: EU tariffs on new sectors would be met with Chinese tariffs on wine, cosmetics, and luxury goods; local content requirements could trigger bans on EU firms from government procurement and a squeeze on rare earth flows.

China-Japan: Frozen, With No Exit Visible

Rare earth oxide exports to Japan have been near zero since early 2026, triggered by Prime Minister Takaichi Sanae's November remarks on Taiwan in the Diet. Japanese firms have been drawing on stockpiles built in part from their experience during the 2010–2012 Senkaku/Diaoyu disputes. The squeeze may be felt more acutely in coming months.

Tokyo has no appetite to escalate. Chinese rhetoric on Japan is qualitatively more emotional than on the US or EU, with no indication Chinese interlocutors are seeking an off-ramp. Relations may not return to normal under Takaichi Sanae's leadership. Takaichi is expected at APEC in November, but a bilateral Xi-Takaichi meeting is unlikely.

Policy Implication: Defensive Industrial Policy Over Offensive Measures

The central implication is that China's demonstrated willingness to use coercive tools — and the West's demonstrated vulnerability — is raising the cost of offensive measures like export controls and sanctions. The US has pulled back from expanding chip export controls in part because of what happened when it triggered Chinese rare earth retaliation in 2025.

The equilibrium both sides are settling into is one where offensive tools are constrained and both sides rely more on defensive industrial policy. This may be stabilizing in the medium term: mutual assured economic disruption creates conditions for a deterrence equilibrium. However, Western governments will be unlikely to build resilience ahead of China weaponizing new chokepoints — historically, the US has only acted after a tool is used, not in anticipation of it, such as in the case of rare earths.

Key Watch Items

1. September Xi-Trump summit — Expected announcement of a rare earth truce extension.
2. October EU Trade Commissioner visit to Beijing — Key deadline for EU-China confrontation pause. In the interim,watch for whether EU tariffs expand to hybrid vehicles and China's symmetric response.
3. APEC in November — Takaichi attendance expected; watch for any bilateral Xi-Takaichi contact and US response to continued rare earth squeeze on Japan.

4. US midterms (November) — If Democrats take the House, expect increased congressional pressure on the administration to expand export controls and update the Entity List.
5. First use of State Council Decree 834 — The sector list to be published under implementing regulations has not yet appeared; watch which companies and sectors are targeted first.
6. Intermediate goods dependencies — Track whether China's market share in intermediate goods continues, and whether Western industrial policy bandwidth expands beyond critical minerals.

What Clients Are Asking

SOE vs. private sector ownership of weaponizable goods: Clients asked whether the goods China might weaponize are state or privately owned, and whether that affects Beijing's ability to act. Speakers noted upstream goods like rare earths are controlled by central state-owned enterprises (SOEs), while downstream goods like batteries involve more private firms, but assessed that China's export control compliance apparatus would produce broad adherence regardless, given severe penalties for violations.

EU timeline for tougher trade measures: Multiple clients asked when EU instruments would actually bite. Speakers assessed the new diversification instrument will not be usable before 2028, but existing tools — including tariff expansion to hybrid vehicles — could be deployed before the October 2026 deadline.

Washington's awareness of non-mineral chokepoints: Clients asked how well DC understands vulnerabilities beyond critical minerals. Speakers were blunt: the US government is broadly aware but specifically unprepared, noting that rare earths were being analyzed as early as 2010 with no coherent policy response for 15 years. They expressed skepticism that the West will get ahead of new chokepoints before China uses them.

Please note that while this AI-generated summary has been checked for accuracy against the source material, it may not capture every nuance or qualifier from the discussion. The full transcript or audio should be consulted for complete context.

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